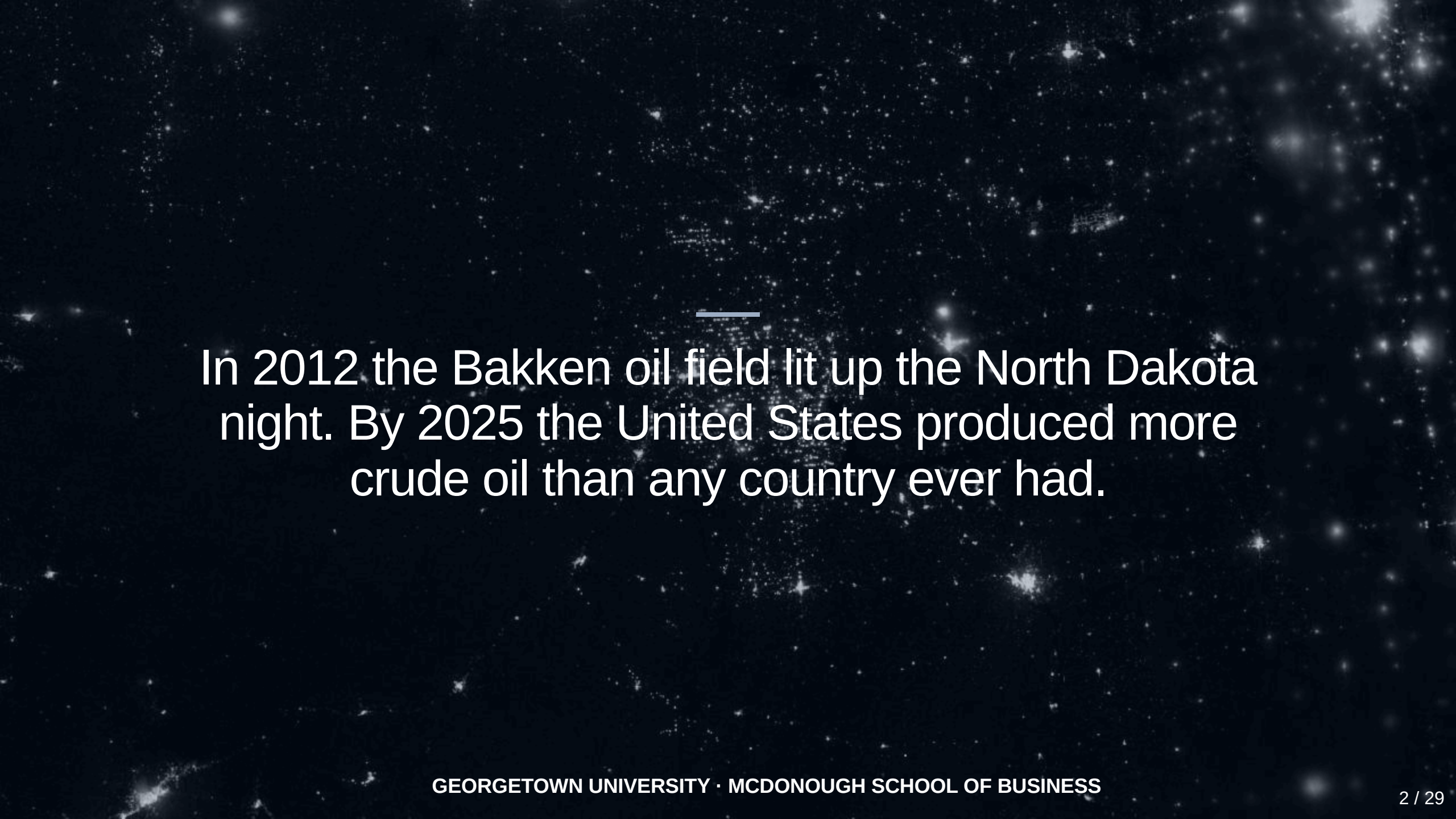
When Does Energy Abundance Increase State Power?

Stephen Weymouth
Dean’s Professor

GEORGETOWN UNIVERSITY



In 2012 the Bakken oil field lit up the North Dakota night. By 2025 the United States produced more crude oil than any country ever had.

YOUR IB VOICE

EXPLAIN THE REVERSAL

In 2012 the United States persuaded China, India, Japan, and South Korea to buy less Iranian oil. In March 2026 it waived its own sanctions on Russian oil at sea. Why were sanctions on an oil exporter affordable in 2012 and costly in 2026?

10 minutes · Individual · Notes permitted

Why did the United States tighten sanctions on Iranian oil in 2012 and loosen sanctions on Russian oil in 2026?

U.S. shale replaced the oil Iran could no longer sell.

Saudi Arabia promised to pump whatever was missing.

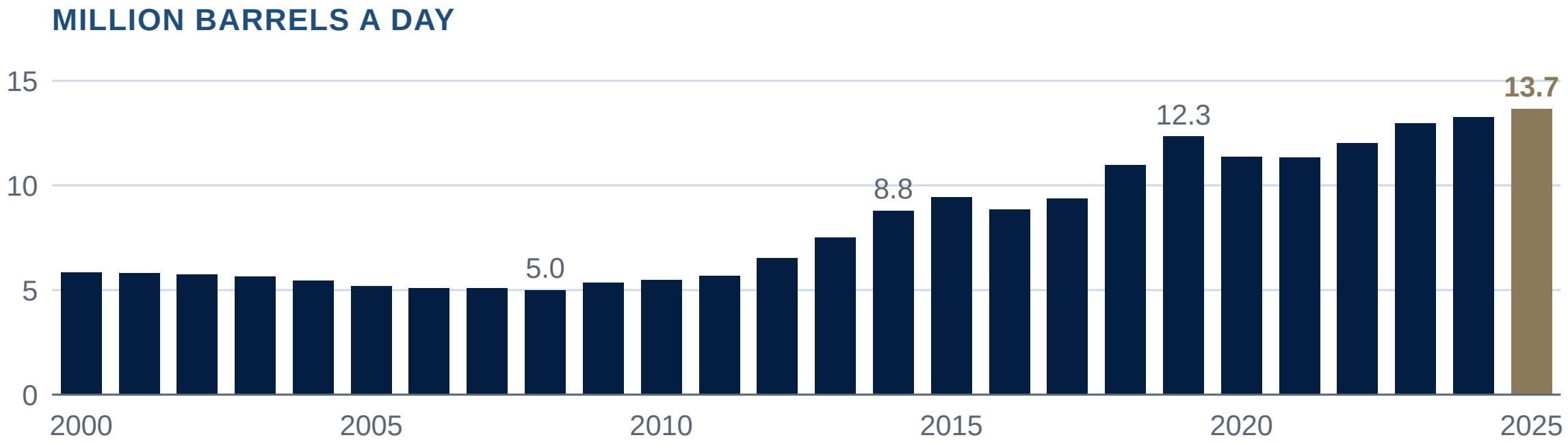
Buyers feared Iran’s nuclear program enough to pay a higher price.

In 2026 the world had no spare oil, so every barrel counted.

> Which of these depend on U.S. production, and which on what the rest of the market could spare?

What does abundance add to U.S. power?

U.S. oil output nearly tripled after 2008



U.S. Energy Information Administration, *Monthly Energy Review*, 2026, Table 3.1: crude oil production.

New drilling technology opened oil in shale rock that had been too costly to reach, first in North Dakota and Texas.

> O'Sullivan's *energy abundance* is the new supply of oil and gas from shale that made the United States a leading producer again.

Shale lifted the economy that hard power needs

O’Sullivan argues that military power rests on a strong economy.

The shale boom grew while most of the economy was still recovering from the 2008 crisis.

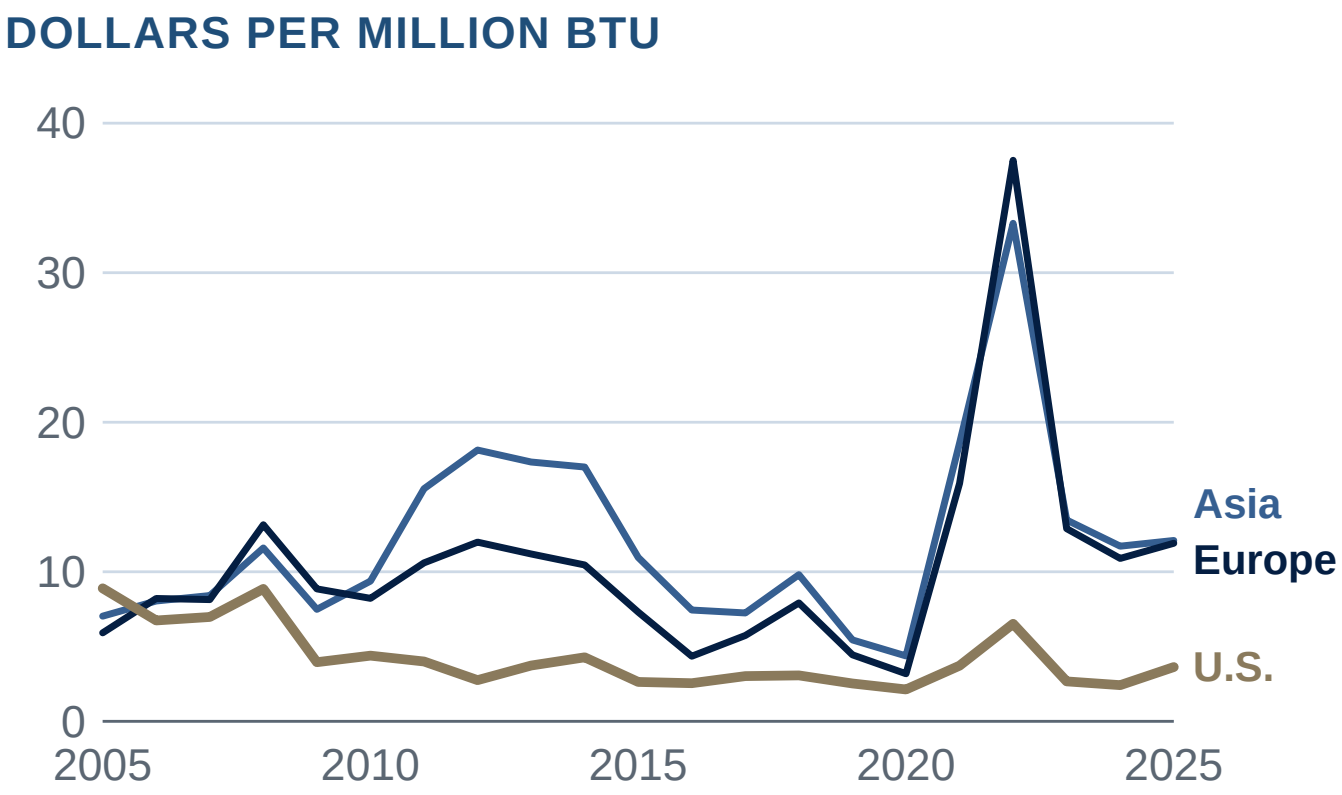
THE SHALE BOOM IN 2014

Added to U.S. GDP about 2.5% of GDP	**$430 billion**
Added to government revenue a fifth of the defense budget	**$111 billion**
Jobs supported	**2.7 million**
Oil import bill instead of $360 billion	**$215 billion**

O’Sullivan, *Windfall* (2017), ch. 5, citing Harvard Business School and Boston Consulting Group (2015) and other studies.

> “Strategy wears a dollar sign,” the military theorist Bernard Brodie wrote in 1959.

Cheap U.S. gas drew energy-hungry plants home



International Monetary Fund, *Primary Commodity Prices*, via FRED, 2026: natural gas, U.S. Henry Hub and EU; LNG, Asia.

Dow Chemical moved production to the Middle East in 2008, then spent $4 billion on plants in Texas and Louisiana.

One reason is that gas is costly to ship across oceans, so U.S. buyers kept their price advantage.

> Abundance helps most where the energy cannot easily cross borders.

Is the United States free of the Gulf now?



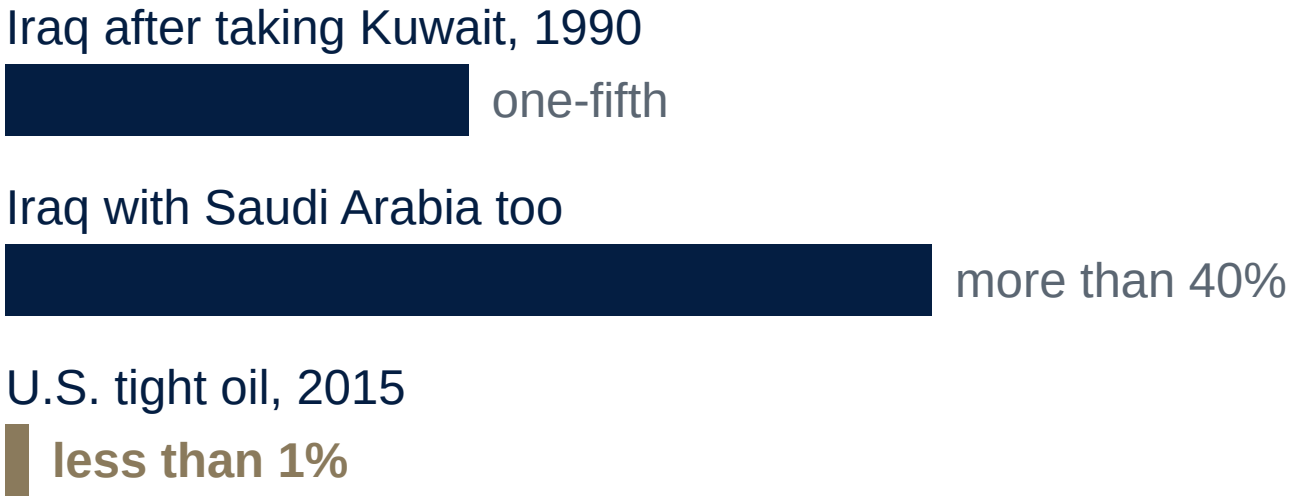
On February 15, 2003, millions marched against the coming war in Iraq. Many said it was a war for oil.

Who controls oil still matters to the United States

O’Sullivan argues U.S. wars aimed to keep adversaries from controlling oil, not to own it.

In 1991 the United States restored Kuwait without taking its oil fields.

SHARE OF WORLD PROVED OIL RESERVES



O’Sullivan, *Windfall* (2017), ch. 5.

> A *strategic* interest in oil is keeping adversaries from controlling it, while a *commercial* interest is owning or selling it.



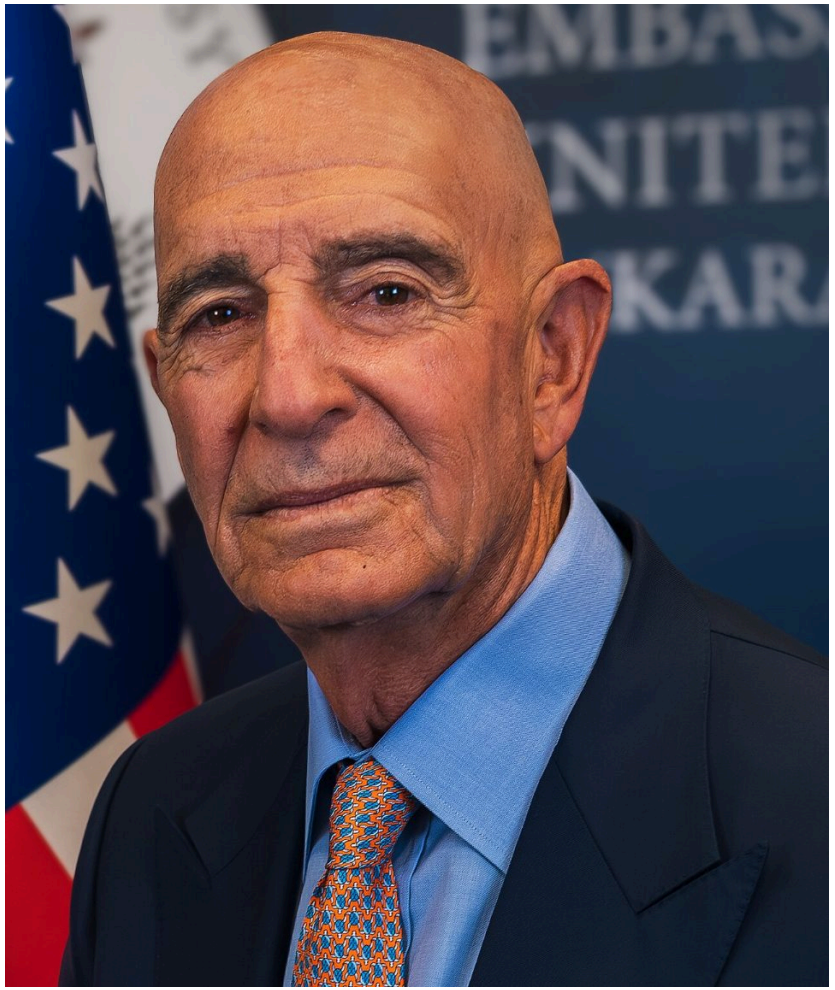
One Army study counted a casualty for every 28 fuel convoys in Afghanistan. Cheaper oil does not make fuel safer to deliver.

O’Sullivan foresaw a less reliable U.S. guarantor

O’Sullivan predicted that abundance would press the United States to do less in the Gulf.

In October 2026 U.S. envoy Tom Barrack said the United States is no longer the guarantor it was.

> If the United States steps back, who protects the oil that sets the world price?



U.S. Department of State, *Thomas Joseph Barrack Jr.*, 2025 · Wikimedia Commons, public domain.

The United States now exports more oil than it imports. Why would it still fight over oil in the Gulf?

> Was the U.S. effort to reopen the Strait of Hormuz in 2026 a strategic or a commercial interest?

Why did sanctions on Iran work after 2012?

Most sanctions fail to change a target's policy



O'Sullivan, *Windfall* (2017), ch. 5, citing Hufbauer, Schott, Elliott, and Oegg, *Economic Sanctions Reconsidered*, and Robert Pape.

Two well-known studies disagree about how often sanctions work, but both find that most fail.

One reason, O'Sullivan argues, is that one country alone cannot cut a target off from the world economy.

Economic coercion is using trade and finance to make another state change its policy.

Stuart Levey took sanctions to the banks

In 2006 Levey, a Treasury official, read that a Swiss bank had cut off Iran.

He visited more than eighty countries to persuade banks to do the same.

> *Secondary sanctions* penalize third parties, such as foreign banks, that do business with the target.



U.S. Department of the Treasury, *Stuart Levey* · Wikimedia Commons, public domain.

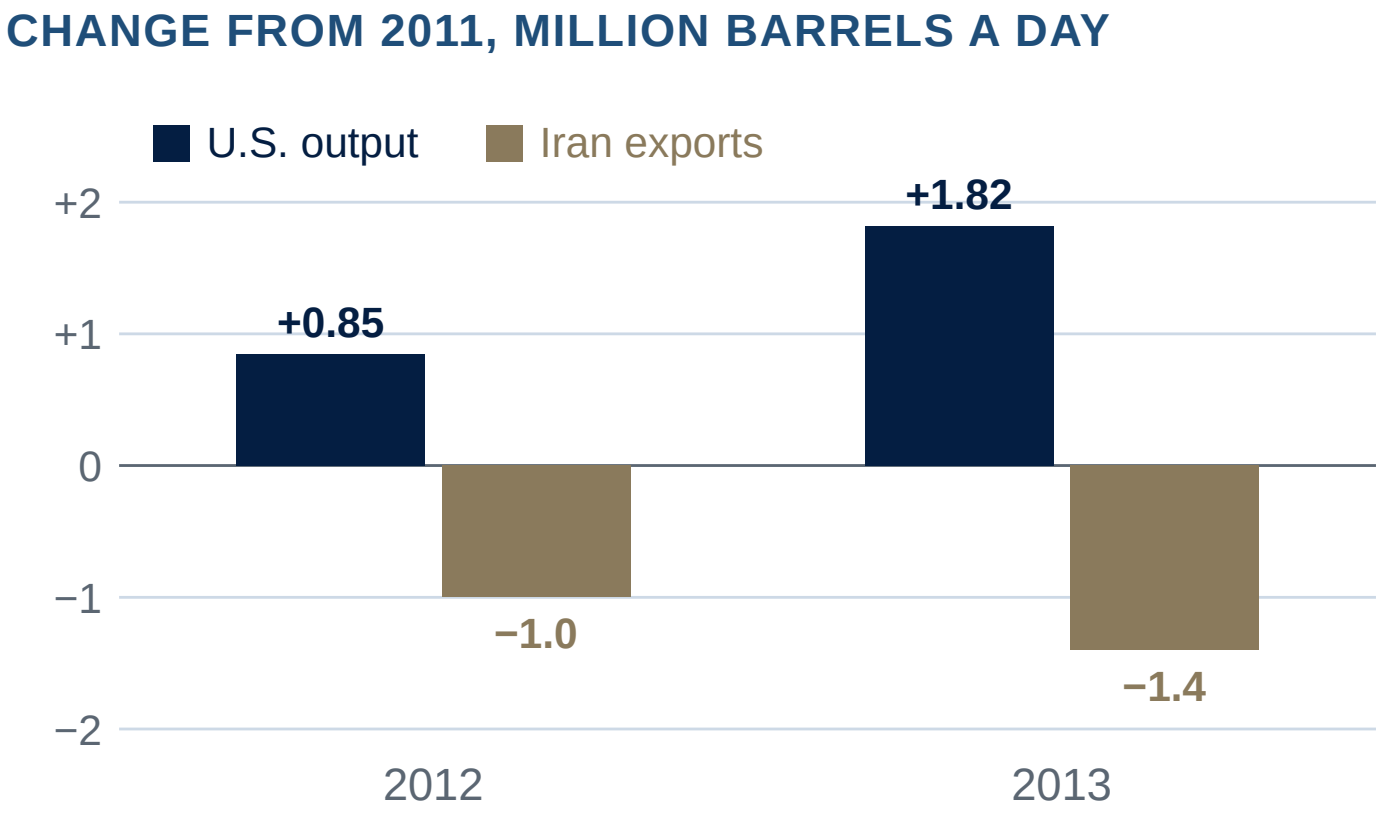


European insurers covered about 95 percent of the world’s tankers. In July 2012 the EU barred them from insuring Iranian oil.

U.S. output rose by more than Iran's exports fell

China, India, Japan, and South Korea cut their Iranian purchases once they believed the oil could be replaced without a price spike.

Saudi Arabia also promised to pump more.



U.S. Energy Information Administration, *Today in Energy*, 2013, citing the IEA; EIA, *Monthly Energy Review*, Table 3.1.

> Abundance made sanctions cheap for the countries asked to enforce them.

Iran’s voters felt the sanctions



Mojtaba Salimi, *Hassan Rouhani*, 2013 · Wikimedia Commons, CC BY-SA 3.0.

Iran’s economy shrank by a tenth from March 2012 to March 2014, and the rial lost half its value.

Hassan Rouhani won in 2013 promising relief, and in 2015 Iran agreed to limit its nuclear program.

> O’Sullivan argues the sanctions worked through Iran’s elections as well as its budget.

Japan joined the 2014 sanctions on Russia

Russia was Japan’s fourth-largest gas supplier, and Abe had met Putin five times since taking office.

Japan’s government joined anyway, partly because it expected U.S. liquefied gas to arrive soon.

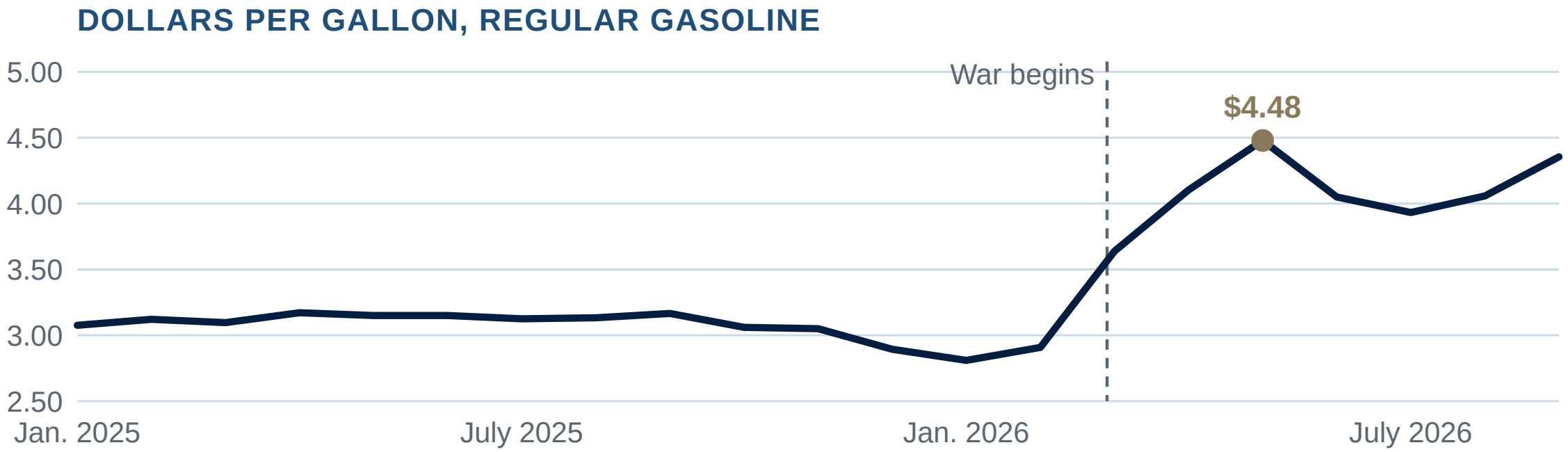
> Abundance helped by giving partners a substitute before they were asked to give up a supplier.



Presidential Press and Information Office, *Vladimir Putin and Shinzo Abe*, 2014 · Kremlin.ru via Wikimedia Commons, CC BY 4.0.

What happens when oil is scarce again?

Shale did not shield U.S. drivers in 2026



U.S. Energy Information Administration, *Gasoline and Diesel Fuel Update*, 2026: U.S. regular retail price, monthly average.

Oil trades in one world market, so a shortage anywhere raised the price U.S. drivers paid.

> Abundance protected the U.S. trade balance, not U.S. consumers.

The United States eased sanctions on Russian oil

- **Feb. 28** U.S. and Israel strike Iran
- **Mar. 6** India may buy Russian oil
- **Mar. 11** IEA agrees record release
- **Mar. 12** All Russian oil at sea waived
- **Apr. 13** U.S. blockades Iran's ports
- **Oct.** Iran asks U.S. to lift sanctions

On March 12 the Treasury let any buyer take Russian oil already at sea for 30 days.

Treasury Secretary Scott Bessent said the first waiver would “enable oil to keep flowing into the global market.”

News reports and IEA releases, February to October 2026; see notes.

With no spare oil, a sanction hurts the country imposing it too.

Iran says it will reopen the strait if the United States lifts, among other things, its blockade and its sanctions on Iranian oil. Does U.S. abundance make it easier or harder for the U.S. government to refuse?

> Which countries pay most for each month the strait stays closed?

Where does cheap energy pay?

Price a ton of fertilizer

In 2025 a million BTU of natural gas cost $3.63 in the United States, $11.91 in Europe, and $12.09 in Asia. A metric ton of ammonia fertilizer takes about 35 million BTU.

1. **Compute** the gas cost of a ton of ammonia in each place.
2. **Compare** a U.S. airline, whose jet fuel comes from oil sold at one world price. Does it get the same advantage?
3. **Explain** why Dow’s plants came back to the United States, and what could end their advantage.

10 minutes · Individual · Pen and paper

How large is the U.S. cost advantage for a ton of fertilizer, and how large is it for an airline?

> What could erase the fertilizer plant’s advantage?

When does energy abundance increase state power?

Shale made the United States a leading producer and strengthened its economy.

It did not end U.S. interest in who controls Gulf oil, because oil has one world price.

It made sanctions on Iran cheap, because buyers could replace Iranian oil without a price spike.

In 2026, with almost no spare oil, the United States eased sanctions on Russian oil instead.

> On Monday, November 2, we turn to globalization from the workers' side.